

Q3 2026 Operating Budget

Owner: Elena Petrova, Controller **Approver:** Daniel Reyes, Chief Financial Officer **Period covered:** 1 July 2026 – 30 September 2026 **Status:** Approved

1. Purpose

This document records the approved non-payroll operating budget for the third quarter of fiscal year 2026 (Q3 2026) for every department of Northwind Labs. Payroll, benefits and employer taxes are planned separately by the People team and are not part of these figures. All amounts are in US dollars and exclude VAT.

The Q3 budget is the second quarterly re-plan under the FY2026 operating plan. It reflects the actual results of Q2 2026 and the revised full-year forecast (version 2). Department heads may not commit spend beyond their approved quarterly envelope without a budget transfer request, as described in section 6.

2. Planning timeline

Milestone	Date	Owner
Budget templates sent to department heads	2 June 2026	Elena Petrova
Department submissions due	16 June 2026	Department heads
FP&A review and challenge sessions	17–24 June 2026	FP&A team
Executive team review	26 June 2026	Maya Okafor, Daniel Reyes
Final approval	2 July 2026	Daniel Reyes
Budgets loaded into NetSuite and Expensify	6 July 2026	Finance Operations

Department submissions this quarter totalled \$2,310,000. After the challenge sessions FP&A reduced the total request by \$235,000, mainly by deferring two Engineering tooling renewals into Q4 and trimming event sponsorships.

3. Planning assumptions

The Q3 envelope was built on the following assumptions, agreed with the executive team on 26 June 2026:

- Quarterly revenue of \$10.6 million, consistent with the revised FY2026 forecast (version 2).
- Non-payroll operating expense held below 20% of quarterly revenue.
- No new office leases; the Kraków office expansion is deferred to 2027.
- Cloud hosting is budgeted as cost of revenue and is excluded from department envelopes.
- An unallocated contingency of \$60,000 is held centrally by the CFO and released only on written request.
- Exchange rates fixed for planning at 1 EUR = 1.09 USD and 1 PLN = 0.25 USD.

4. Key changes versus Q2 2026

- **Marketing** increased its program spend to fund the Atlas 5 launch campaign in September and two field events in Berlin and Austin.
- **Engineering** moved two tooling renewals (observability tooling and load testing) into Q4, lowering its Q3 envelope compared with Q2.
- **Sales** added budget for the EMEA partner enablement program, partly offset by lower travel spend.
- **IT & Security** includes the annual SOC 2 Type II audit fee, which is paid in Q3 every year.
- **People** includes the autumn employer-branding campaign and the Lisbon summer internship cohort.

Spend outside these themes requires the approval path described in section 6.

5. Approved Q3 2026 budget by department

The CFO, Daniel Reyes, approved the Q3 2026 operating budget on July 2, 2026. The approved marketing budget for Q3 2026 is **\$420,000**, covering paid acquisition, the Atlas 5 launch campaign, events and content production. The full departmental breakdown is shown below.

Department	Cost center	Q2 2026 actual	Q3 2026 approved budget	Change
Engineering	CC-4210	\$655,000	\$610,000	-6.9%
Marketing	CC-4410	\$355,000	\$420,000	+18.3%
Sales	CC-4420	\$270,000	\$285,000	+5.6%
Customer Success	CC-4520	\$132,000	\$140,000	+6.1%
Product	CC-4310	\$90,000	\$95,000	+5.6%
People	CC-4610	\$104,000	\$120,000	+15.4%
Finance & Legal	CC-4710	\$168,000	\$175,000	+4.2%
IT & Security	CC-4810	\$151,000	\$230,000	+52.3%
Total departments		\$1,925,000	\$2,075,000	+7.8%
CFO contingency (unallocated)	CC-4900	—	\$60,000	

Marketing budget detail

Marketing line	Q3 2026 approved
Paid acquisition (search, social, review sites)	\$165,000
Atlas 5 launch campaign	\$110,000
Field events (Berlin, Austin)	\$85,000
Content and design agencies	\$60,000
Total Marketing	\$420,000

6. Budget controls and transfers

- Budget owners can see their remaining envelope in the NetSuite budget-versus-actual report, refreshed every Monday.
- Transfers between lines within the same department up to \$25,000 can be approved by the department head.
- Transfers between departments, or any increase of a department envelope, require a budget transfer request approved by the Controller (Elena Petrova) and the CFO (Daniel Reyes).
- Purchases still follow the purchase approval thresholds defined in the Procurement Policy (POL-FIN-005), regardless of available budget.
- Unspent Q3 budget does not roll over to Q4 unless the CFO approves a carry-forward in writing before 30 September 2026.

7. Reporting

FP&A will publish a mid-quarter budget-versus-actual review on 14 August 2026 and a final Q3 variance report as part of the September month-end close. Variances above 10% or \$20,000 per department, whichever is lower, must be explained by the department head in the variance report.

Questions about this budget should be directed to Elena Petrova (Controller) in the #finance-fpa Slack channel.